single busted patterns usually outperform their non-busted counterparts, but there's no sure way to determine if a pattern will single, double, or triple+ (more than two) bust. Thus, having a high single bust rate makes trading a busted pattern more reliable (you hope it busts just once). The higher the single bust rate the better.

Anyway, single busted patterns happen most often, as the table shows. Triple+ busts place second for frequency for downward breakouts.

Busted and non-busted performance. The last three rows in the table are my attempt to compare busted and non-busted performance. Can you make more money trading a busted pattern?

The answer is yes, providing the pattern single busts. I would stick to trading busted downward breakouts in bull markets. Sixty-seven percent of busts will be single ones, and price rises an average of 52% above the top of the triangle (to the ultimate high). That percentage is quite an incentive. Even if you only make half that it's a tasty hors d'oeuvre.

Trading Tactics

Table 66.10 shows trading tactics.

Measure rule, targets. There are two types of measure rules for symmetrical triangles. Figure 66.6 shows the first one. Compute the triangle's height from highest high (point B at 9.75) to lowest low (point A at 8.38). Either add or subtract the difference, 1.37, from the breakout price depending on the breakout direction. In this case, the breakout is upward, so the target price becomes 10.50 (that is, 9.13 + 1.37). Price reaches the target in less than a month.